

Equity Project: Beverage industry

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Part I

I. Executive summary

Introduction and Objectives:

The non-alcoholic beverage industry is a cornerstone in the US. As a consumer staples sector characterized by resilient demand across economic cycles which rely on every day. This report presents a comprehensive comparative financial analysis of five major players in the U.S. beverage industries like: The Coca-Cola Company, PepsiCo, Monster Beverage Corporation, Celsius Holdings, and Keurig Dr Pepper. From 2021 to 2025, the industry navigated post-pandemic normalization mainly in the rising on commodity costs, supply chain disruptions, and more shifting consumer preferences toward healthier options. The competitive remains dominated by multinational corporations with powerful brand equity and worldwide distribution networks, though challenger brands in high and fast growth categories like energy drinks have reshaped market dynamics over the period.

Analysis Objectives

The analysis evaluates each company's financial performance across five companies' dimensions: Evaluate liquidity and working capital management practices, assess long-term solvency and capital structure strategies, analyze asset management efficiency and operating cycles, and capital structure, asset management efficiency, profitability, compare profitability performance across distinct business models and market valuation and the investor expectation. The objective is to understand how differences in business models, strategic priorities in the financial ratios, growth, stability, and overall financial health.

Recommendation

Based on this analysis, a selective investment approach is recommended rather than broad sector exposure:

- For stability and defensive characteristics: The Coca-Cola Company and PepsiCo represent appropriate core business holdings with more resilient profitability consistence since very long period and consistent shareholder returns, generate strong operating margins, significant free cash flow, and high returns on invested capital and diversified brand portfolios all over the world.

- For higher growth objectives: Monster Beverage offers compelling exposure to the expanding energy drink category with strong margins and except attractive returns and a conservative balance sheet, though with greater valuation of volatility over the period.

- For hybrid model diversification: Keurig Dr Pepper provides exposure to both traditional packaged beverages and recurring-revenue coffee systems, supported by predictable cash flows despite higher debt levels and operational efficiency supports its financial obligations and dividend program.

-For high risk-reward profiles: Celsius Holdings presents the highest risk-reward profile among the analyzed companies and improving margins demonstrate significant potential, the volatility in profitability metrics, but requires careful monitoring due to volatility in profitability metrics and evolving capital structure, suitable only for investors with substantial risk tolerance.

The sector offers diverse opportunities aligned with different risk preferences rather a uniform recommendation, a diversified exposure to leading non-alcoholic beverage all five companies for a 3-year, medium-risk investment objective focused on steady capital appreciation with selective growth exposure. The analysis shows that established beverage companies provide portfolio construction to understandings of each company's unique financial characteristics, competitive positioning and growth prospect which also clear information on the five company financials on stable cash flows and strong profitability, while energy-drink-focused firms offer higher growth potential but greater volatility.

II. Industry Overview

The American beverage industry is one of the largest and the most competitive sectors in the USA economy. It includes everything from Coca-Cola to Pepsi to crafted beers and kombucha. It covers sodas, juices, energy drinks, alcoholic beverages, ready to drink tea and coffee, and a growing list of health and wellness drinks that did not even exist some years ago. The following review takes a look at the beverage industry today, its size, structure, major players, trends that are reshaping the industry, challenges and companies are dealing with and what the future for this industry might look like.

Key players and industry surface:

The two giants that dominate it over all are Coca-Cola and Pepsi which run a duopoly in the overall market in terms of supply chain, product portfolio and pricing. Coca-Cola's portfolio includes not only Coke products but also products like Dasani water, Powerade, Minute Maid and Fair Life amongst others. PepsiCo has Pepsi, Tropicana, Gatorade and Lipton apart from others. These aren't just beverage companies but they're distribution machines with resources, relationships and infrastructure that startups can simply not compete and often end up getting absorbed by either of the two giants.

The energy drink space is dominated by two key players Red Bull and Monster Energy. Monster is particularly interesting because it utilizes Coca-Cola's distribution network which gives it a massive edge to scale up without having to create their own distribution channels from scratch.

Risks & Mitigants:

The beverage industries face several operational and financial risks that can influence company performance and business models. The one major risk is changing consumer preferences, as we know there is a great shift toward healthier and the diet version beverage options with lower sugar content. This change has affected the traditional carbonated soft drinks portfolio that have historically driven industry revenues. Companies are addressing this challenge by expanding their portfolios to include zero-sugar drinks, functional beverages, and healthier product alternatives in faster-growing categories including waters, ready-to-drink teas, and functional offerings.

Another issue is effect on inflation which input and production costs like transportation; cost of materials is higher prices especially for sugar, aluminum and other raw materials. This cost will reduce the profit margin over time and particularly for companies manufacturing finished beverages.

Regulatory and compliance with exposure- which includes sugar taxes and packaging regulations, presents another challenge. Companies mitigate this through product reformulation, geographic diversification, and investments in sustainable packaging initiatives that address both regulatory and consumer expectations.

Looking ahead what's next for the industry?

Looking at the several upcoming years, health and wellness isn't going anywhere infact it is going to accelerate based on current and recent consumer patterns. Brands that will be able to position themselves around Low sugar, clean ingredients and health benefits will end up taking up more shelf life . Consolidation will probably continue since large brands find it easier to acquire smaller brands with strong and loyal customer base rather than building them internally , as they are able to help the small brand scale better with their larger and more efficient distribution channels , which is not always good for the smaller brands image but has become a convenient exit path for the brands . Nonalcoholic beverage as a substitute to beer, wine and spirits are also worth watching. The sober curious movement has generated demand for drinks that feel like an occasion without the alcohol. Athletic Brewing (non – alcoholic craft beers) has gained a lot of press and attention recently and is expected to grow rapidly in the coming years.

AI and Data analytics are also starting to play a big role in how companies develop new product and optimize their supply chain This isn't unique to beverages, companies that have access to consumer data are able to predict trends faster than their competitors which provides them with a huge competitive meaningful advantage .



III. Companies briefly:

MONSTER BEVERAGE

Monster Beverage Corporation, headquartered in Corona, California, is the world's second largest energy drink company by market share and one of the most recognizable names in the global nonalcoholic beverage segments. The company operates as a holding company and operates via its subsidiaries that develop market and distribute a wide range of beverages across 175 countries.

Major Investments and Strategic Initiatives

- **The Coca-Cola Distribution Partnership:** This strategic partnership has been the most profitable investment for Monster energy in their history. By exchanging non-energy assets for Coca-Cola's energy portfolio and distribution rights, Monster effectively outsourced its global logistics to the world's most extensive beverage distribution network. This has allowed the company to penetrate global markets and increase their sales revenue.
- **Acquisition of Bang Energy (July 2023, ~\$362 Million):** This deal was strategically significant because it allowed them to eliminate one of their most aggressive domestic competitors and at the same time acquire their state of the art production facility in Phoenix Arizona which monster has since used to increase production capacity for several of its products
- **CANarchy Craft Brewery Acquisition and Alcohol Category Entry (2022):** This marked the entry of Monster energy into the alcoholic beverage segment; the strategy was a rationale for diversification into a high growth category for Monster
- **Pricing Actions and Margin Expansion Strategy:** In November 2024, Monster implemented a 5.0% price increase on its core Monster brands and packages in the United States, excluding Bang Energy, Reign, and Reign Storm. This pricing action, alongside continued supply chain optimisation, has been a primary driver of gross margin improvement from 54.0% in 2024 to 55.8% in 2025
- **Share Repurchase Programmed:** Monster has maintained an active share repurchase programme, As of 26 February 2026, approximately \$500 million remained available for repurchase. This signals management's confidence in the company's long-term value and its disciplined approach to returning capital to shareholders.

PEPSICO

PepsiCo is one of the leading global food and beverage companies operating in more than 200 countries and territories. This company manages a diversified portfolio that includes snacks, foods, convenient food products, and beverages. It also has six global business segments, which allows the company to manage effectively with different product categories and regional market. They are also into other beverage operating model to have a smooth run in the production by using hybrid beverage production and distribution system that combines centralized product development with decentralized bottling and distribution networks, they use franchise bottling system globally, to increase the scalable production. They also follow the beverage value chain with stages of production and activities they performed.

Major Investments and Strategic Initiatives

- In 2025, PepsiCo have acquired Poppi a prebiotic soda segments for adults \$1.95 billion, this acquisition will strengthen PepsiCo position in the functional beverage and health focused beverage market which targeted for youngster and health-conscious consumer.
- Celsius Holdings: invested 550 million in 2022 for energy drink segments. Later, they expanded their investment, and they increased its stake to 11%. This is one of the fastest growing energy drink segments.
- In 2024, they acquired Siete Foods for \$1.2 billion, and this helps them to expand their strategy into healthier and multicultural food products.
- The major Portfolio restructuring happened in 2021 by selling a majority stake in Tropicana and Naked juice brand for \$3.3 billion to focus on core beverages and snacks and impaired and sold underperforming assets (Rockstar).
- They also had a digital transformation by partnering with Amazon web service (AWS) to accelerate cloud computing, AI integration, and supply-chain efficiency as part of its digital transformation strategy this initiative ties to operating leverage and cost optimization.
- PepsiCo is investing in sustainable strategy on PepsiCo Positive (pep+): regenerative agriculture (target:10million acres by 2030) on long term brand value, and investor perception sustainable packaging and effective usage of water conservation and climate goals. PepsiCo's recent investments focus on healthier products, functional beverages, digital innovation, and sustainability, aiming to strengthen long-term growth and respond to changing consumer preferences.

COCA-COLA

Main Goods & Services

Coca-Cola is a global leader in the beverage sector. It is the retailer of sparkling, non-alcoholic beverages such as sparkling soft drinks, water, sports drinks, coffee, tea, juice, and dairy. (Coca-Cola, Diet Coke, Sprite, Fanta, Dasani, Smart Water, Powerade, Costa Coffee, Minute Maid, Fairlife, and BODYARMOR are the top brands.) Products are produced as syrups or concentrates and dispatched globally via a network of independent bottling partners.

Big Investments & Strategic Moves - Last 5 Years

- BODYARMOR (2021): Total purchase to reinforce position in the fast-growing sports drink space with Powerade.
- Fairlife: This high-protein dairy brand was acquired in stages, and a payment in 2025 indicated that the company was financially booming.
- Technology: Investing money into data analytics and automation to make the supply chain and manufacturing operations run more smoothly.
- Marketing Transformation: The WPP global marketing collaboration that commenced in 2021.

Two Key Investments for Future Growth

Coca-Cola offers Powerade and Coca-Cola, so they have a two-product sports drink market. A good approach because health and fitness trends are continuing to come out strongly within this fast-growing market segment. Fairlife and Core Power are also producing high-protein dairy drinks that health-oriented people like. Payment milestones linked to financial goals demonstrate strong growth for the brand.

Financial Ratio Summary

Across all five ratio categories, Coca-Cola maintained a strong and consistent financial position from 2021 to 2025. A brief tightening in 2024 reversed by 2025, with profitability, liquidity, and free cash flow all improving.

Ratio Category	Key Trend	2025 Position
Liquidity	Tightened in 2024; recovered in 2025	Current ratio 1.46 - strong
Solvency	Stable high debt (~72–74%); eased 2025	Total debt ratio ~67% - improving
Asset Management	Receivables faster; inventory improved	Operating cycle ~111 days
Profitability	Margins pressured 2022–24; rebounded	Gross ~62%, Op. margin ~29%
Market Value	EPS rose to \$3.05; P/E eased to 22.9x	Free cash flow ~\$11.3B

KEURIG DR PEPPER

Dr Keurig Pepper is a major beverage corporation company. It was formed in 2018 through the merger of Keurig Green Mountain and Dr Pepper Snapple Group. Primary merging entities: Keurig Green Mountain: It is formerly Green Mountain Coffee Roasters. It specializes in single-serve brewing systems and specialty coffee. It was a private company owned by an investor group which is led by JAB Holding Company. Dr Pepper Snapple Group: It is a flavored beverage producing company which has brands like Dr Pepper and Snapple, 7UP, A&W and Canada Dry.

Main Products and Services:

The company offers a diverse array of beverages. They are:

- 1) U.S. Refreshment Beverages- consists of brands like Dr Pepper, Canada Dry, 7UP, Snapple, and Mott's along with brands like Core Hydration and GHOST.
- 2) U.S. Coffee- it consists of a widely installed segment in North American household, i.e, Keurig Brewing system. It also consists of various coffee brands such as Green Mountain Coffee Roasters and The Original Donut Shop.
- 3) International- International segment manages all KDP brands globally across Canada, Europe and Mexico. Three main strengths of Keurig Dr Pepper: a wide range diversified well known brand portfolio, the single-serve brewing coffee-making platform; and an expansive direct store delivery network. The segment wise revenue of U.S. Refreshment Beverages is the highest with around 61%, followed by U.S. Coffee at 26% and International at 13%.

Major Investments Activities: (2020-2025)

1. Merger and Acquisitions:
 - 2022: Nutra bolt or C4 – 30% stake - \$ 863M - C4 is an energy drink brand whose target consumers are fitness conscious.
 - 2024: Ghost- 60% stake - \$990M - Ghost is also an energy drink but on the lighter lifestyle type. Its target consumers would be GenZ ad people who are into gaming.
2. Expansion in Distribution (2024): Kalil Bottling Co. Asset- Kalil was a bottling primary distributor company operating regionally in Southwnt US.
3. New technology or product innovation (2024): K-Rounds and Keurig Alta next gen brewer- By designing a new brewer platform Keurig Alta for premium and specialty coffee, Keurig addresses the consumer problem faced by K-rounds.
4. 2020-2024: Sustainability packaging and positive hydration portfolio renovation- KDP is committed to sustainable packaging by having 100% recyclable packaging by 2025. It also made a few changes and repositioned brands like Snapple, Core Hydration and Bai. This helps with the change in the consumer outlook who wants drinks that are not just tasty but also feel more functional or purposeful and credential.

Overall, KDP has observed and acted according to the threats or blockages; its legacy beverage producing company could be prone to. These being the perspective shift of consumers who want to drink more mindfully with not just taste but with purpose and nourishment, energy drink segment targeting genz, a segment for athelets and gym goers who need supplement drinks, a premium segment of K-Rounds, cut down costs by having its own bottling wing. .. etc.

Celsius Holdings, Inc. (Nasdaq: CELH)

Main Products and Services

Celsius Holdings, Inc. is an energy drink company based in Boca Raton, Florida and was established in Nevada in 2005. Their products are offered under CELSIUS, Alani Nu, and Rockstar brands. They produce functional energy drinks and wellness beverages with Alani Nu and Celsius offering additional wellness products. Its main product line includes Ready-to-Drink energy beverages, On-the-Go powder and Hydration sticks, and Nutrition and wellness products such as proteins. These products are distributed in the US, Canada, Europe, the Middle East, and the Asia Pacific. (Celsius Holdings 10K, 2026, pp. 1-5).

Major Investment Projects (2021–2025)

- **PepsiCo Strategic Distribution and Investment Agreement (August 2022):** In August 2022, PepsiCo became the main distributor of Celsius in the U.S. and also invested \$550 million in preferred stock. In 2024, PepsiCo also became the distributor of Celsius products in Canada. Then, in August 2025, PepsiCo made another investment, which gave it a second board seat and made it the distributor for Celsius, Alani Nu, and Rockstar under the updated agreements with Celsius. Overall, the deal helped Celsius improve its store presence by increasing its distribution points, and it likely supported better operating performance as the company grew (Celsius Holdings 10 K, 2026, pp. 1-2).
- **International Expansion through Suntory Group companies (2024):** In 2024, Celsius also began expanding further into international markets. The company signed distribution agreements with Suntory Group companies, which helped Celsius enter the UK, Ireland, Australia, New Zealand, and France (Celsius Holdings 10K, 2026, p. 1).
- **Acquisition of Big Beverages (November 2024):** In November 2024, Celsius bought Big Beverages for \$75.3 million. Big Beverages was already one of the company's co-packers, so this deal helped Celsius to do its packaging in-house. The deal also included the manufacturing facility and a warehouse in North Carolina (Celsius Holdings 10K, 2026, p. F31).
- **Acquisition of Alani Nu (April 2025):** In April 2025, Celsius acquired Alani Nu. The deal included \$1,275 million in cash, about 22.45 million shares, and up to an additional \$25 million, depending on Alani Nu's 2025 performance. To pay part of the deal, Celsius took a \$900 million loan, which was later refinanced to \$700 million and had a \$100 million credit line available. This deal helped the company reach a wider customer base, especially female consumers, since Alani Nu is more focused on that market. (Celsius Holdings 10K, 2026, p. 1).
- **Acquisition of Rockstar (August 2025):** In August 2025, Celsius acquired the Rockstar brand rights in Canada and the US as part of its deal with PepsiCo, helping the company expand its business in the energy drink market (Celsius Holdings 10K, 2026, p. 1).

Two Most Promising Investments

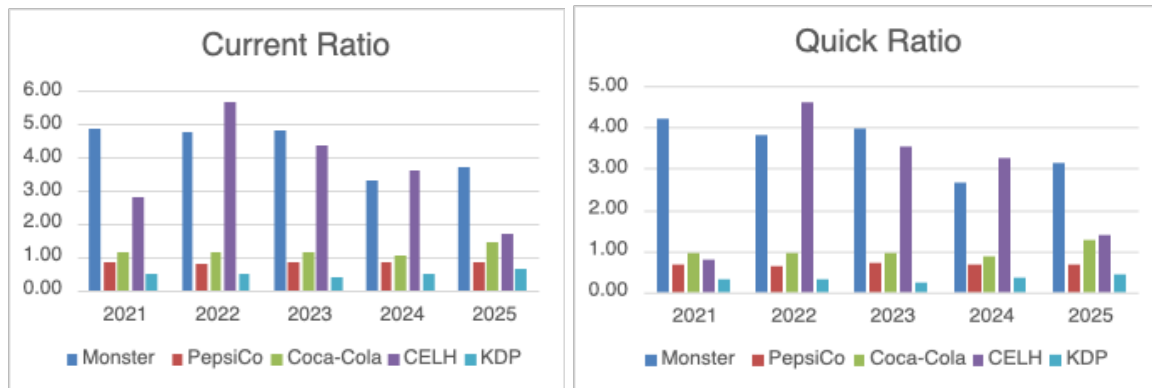
The two promising investments for Celsius were a partnership with PepsiCo and the acquisition of Alani Nu. The deal with PepsiCo expanded the company's distribution points, significantly improved its revenue growth, and helped Celsius secure significant investment funds from PepsiCo. The acquisition of Alani Nu was also a major deal, as it helped Celsius expand its customer base by reaching more female consumers and boosting revenue.

IV. Comparison and Conclusions

The following section compares the liquidity, solvency, asset management, profitability, and market ratios of five selected peers in the U.S. beverage manufacturing industry.

1. Liquidity / Short term Solvency Analysis:

The Current Ratio & Current ratio



Monster Beverage clearly has the best cash flow of all the companies in the group. The present ratio stays relatively high at the start of the period: 4.85 in 2021, 4.76 in 2022, and 4.81 in 2023. In 2024, it goes down to 3.32 and then up a little to 3.70 in 2025.

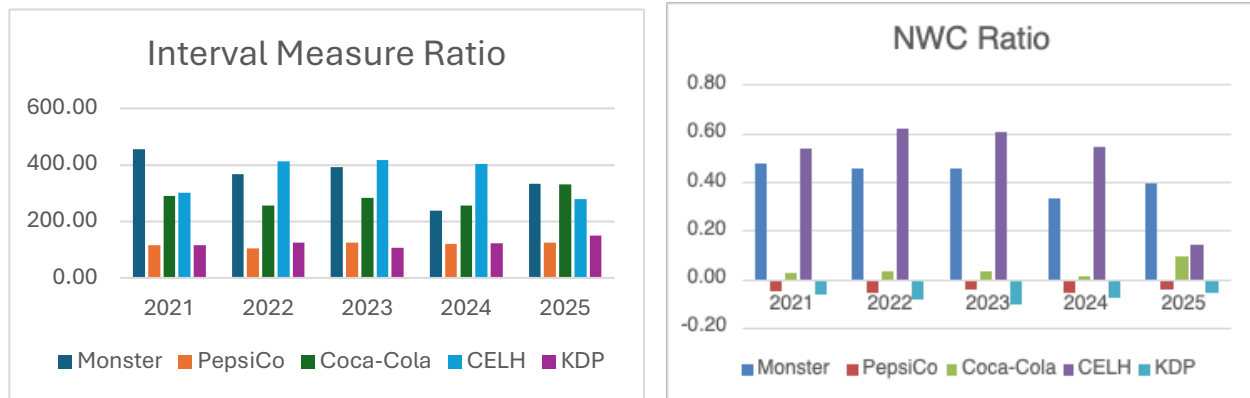
The quick ratio performs the same thing; it stays between 2.65 and 4.24. One explanation Monster gave in its filings is that it has a lot of cash and short-term investments. This is because it makes a lot of money from its operations and doesn't have to spend a lot of money on capital projects. Monster doesn't have to spend a lot of money on fixed assets because it doesn't own a lot of manufacturing equipment. Instead, it relies on other partners to bottle and distribute its products. This is why the liquidity ratios are so high: the company saves a lot of cash (Monster Beverage Corporation, 2025 Form 10-K).

The fast ratio for Coca-Cola is normally between 0.84 and 1.25, which is near 1.0. This suggests that the business could possibly pay off most of its short-term debts without having to sell its stock. This illustrates again that the corporation has a continuous stream of cash and knows how to handle its liquidity. PepsiCo and Keurig Dr Pepper, on the other hand, say that their liquidity ratios are substantially lower throughout the same period.

The current ratio for PepsiCo is still between 0.80 and 0.85, while the quick ratio is still between 0.61 and 0.68. The current ratio for Keurig Dr Pepper is between 0.38 and 0.64, while the quick ratio is normally between 0.20 and 0.33. At first, these values could seem unsafe because they are below one. But it's plain to see that both corporations make a lot of money from their drink and consumer products operations. Their disclosures argue they don't need to have a lot of cash on hand since they have good supply chains and can

get credit. This means they can run with less cash on hand (PepsiCo, 2025 Form 10-K; Keurig Dr Pepper, 2025 Form 10-K). Celsius is seen to have volatile inventory levels which are reflected in uneven liquidity ratios.

Interval Measure & Net Working Capital Ratio



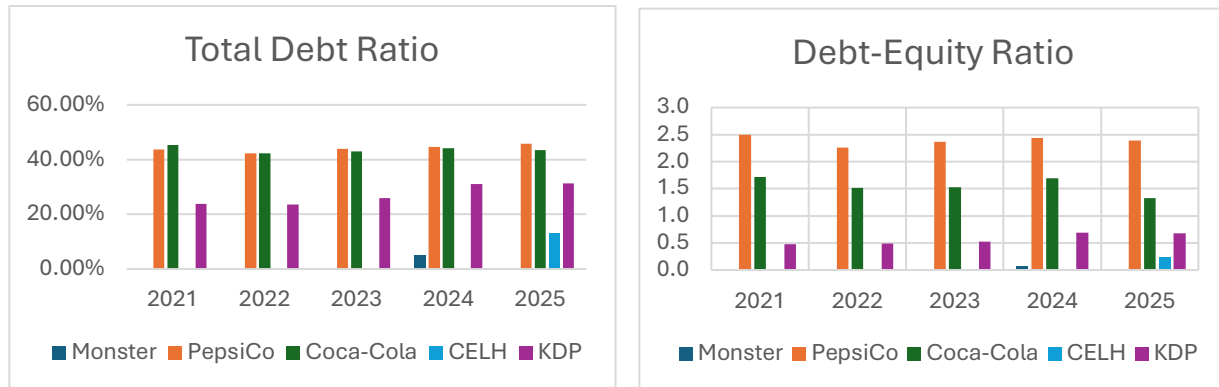
The interval measure shows how long a company can continue operating using only its existing cash and current assets. Monster has very strong liquidity, with 456.47 days in 2021, dropping to 238.95 days in 2024, and rising again to 333.07 days in 2025, showing a consistently strong cash position. Coca-Cola also maintains strong liquidity, moving from 290.29 days in 2021 to 331.52 days in 2025, with relatively stable performance over time. PepsiCo remains steady but lower, ranging from 105.04 to 123.76 days, ending at 123.76 days in 2025, indicating moderate liquidity. Keurig Dr Pepper (KDP) shows improvement, increasing from 115.58 days in 2021 to 149.10 days in 2025, reflecting stronger working capital management. Celsius Holdings (CELH) is more volatile, rising from 300.80 days in 2021 to 418.19 days in 2023, then falling to 278.44 days in 2025 as it scales its operations. Overall, Monster and Coca-Cola show the strongest liquidity, PepsiCo and KDP remain stable at moderate levels, and Celsius shows higher but fluctuating liquidity due to rapid growth.

Conclusion

The analysis illustrates that beverage businesses handle their cash flow in different ways. When business is good, Monster and Celsius have a lot of cash on hand. It seems like Coca-Cola has enough money on hand to run its business normally without having too many assets that aren't being used. PepsiCo and Keurig Dr Pepper have tighter working capital frameworks. Instead, they use regular cash flows and effective supply chain management to meet their short-term needs.

2. Long-Term Solvency Analysis.

Total Debt Ratio & Debt and Equity Ratio



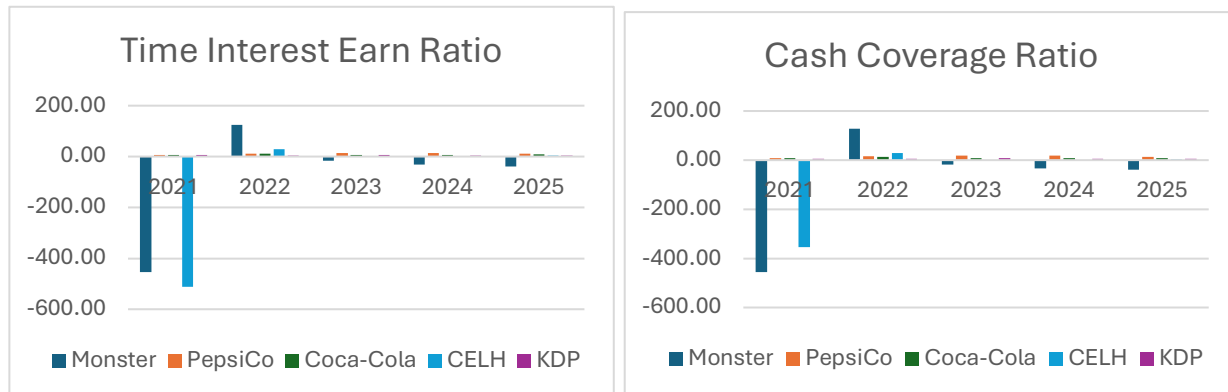
The total debt ratio shows how much of a company's assets are financed through debt. Among the five firms, Coca-Cola and PepsiCo consistently operate with relatively higher leverage compared to the others. Coca-Cola's debt ratio stays stable, ranging from about 42% to 45%, indicating that nearly half of its assets are financed through debt. This reflects a mature business model with steady cash flows that can comfortably support higher leverage. PepsiCo shows a very similar pattern, with ratios also remaining in the 43% to 46% range, suggesting a consistently leveraged but stable capital structure.

Keurig Dr Pepper (KDP) shows a clear upward trend in leverage over the period, increasing from 23.76% in 2021 to 31.41% in 2025. This indicates that the company has gradually been relying more on debt financing, likely to support expansion and operational investments. In contrast, Monster Beverage maintains an extremely low-debt structure, remaining at 0% for most years, with only a small increase to 4.84% in 2024. This reflects its asset-light operating model, where it depends more on partners for production and distribution rather than heavy capital investment. Celsius Holdings (CELH) shows no debt until 2025, when its ratio increases to 13.09%, suggesting the company has recently started using debt as it scales rapidly and invests in growth.

The debt-to-equity ratio measures financial leverage by comparing total debt to shareholder equity. PepsiCo has the highest leverage in the group, staying consistently above 220% and reaching about 249.73% in 2021, which indicates that the company relies heavily on debt relative to equity. This is common for large, established firms with stable earnings that can manage higher borrowing levels. Coca-Cola also shows relatively high leverage, though it fluctuates over time, ranging from about 132.73% to 172.01%. The decline in 2025 suggests an improvement in its capital structure as debt levels decrease relative to equity. Keurig Dr Pepper again shows a steady increase, moving from 48.15% in 2021 to around 68% in 2025, reflecting a gradual shift toward more debt financing.

Monster Beverage maintains very low leverage throughout the period, staying near 0% for most years, with a small rise to 6.28% in 2024, reinforcing its conservative financial approach. Celsius Holdings remains at zero for most of the period but increases to 22.78% in 2025, showing a clear shift toward using debt as it transitions into a more scaled and growth-focused company.

Interest coverage ratios & Cash Coverage Ratio



Interest coverage ratios indicate how easily a company can meet its interest obligations using earnings from operations. A higher ratio suggests a stronger ability to cover interest payments. Among the five firms, PepsiCo and Coca-Cola show consistently healthy coverage levels. PepsiCo's times interest earned ratio ranges from about 5.99 in 2021 to a peak of 14.63 in 2023, before moderating to 10.26 in 2025. This indicates strong and stable earnings capacity to cover interest expenses throughout the period. Coca-Cola also maintains solid coverage, increasing from 6.45 in 2021 to 12.37 in 2022, and then fluctuating between roughly 6 and 9 times in later years, ending at 8.32 in 2025. Overall, both companies demonstrate strong financial stability and sufficient earnings to comfortably meet interest payments. Monster Beverage shows highly volatile and negative interest coverage in several years, including -454.82 in 2021, -16.97 in 2023, and -38.30 in 2025. These negative values reflect weak or inconsistent operating earnings in those periods. However, this does not create significant concern because Monster carries very little debt, meaning its interest obligations are extremely low. Celsius Holdings (CELH) shows extreme fluctuations in coverage. It records a very negative ratio of -511.25 in 2021, improves significantly to 29.82 in 2022, and then reports no meaningful values in 2023 and 2024 due to minimal or absent interest expenses. In 2025, after taking on debt, the ratio declines sharply to 2.88, which is much lower than most peers and suggests reduced but still manageable ability to cover interest costs as the company begins to use more leverage.

Keurig Dr Pepper (KDP) shows moderate interest coverage compared to its peers. Its ratio ranges from 4.15 in 2022 to 6.51 in 2023 and remains around 4 to 5 times in later years, ending at 4.92 in 2025. This lower

coverage compared to PepsiCo and Coca-Cola indicates a smaller safety margin, which aligns with its increasing reliance on debt to fund capital expenditures and expansion.

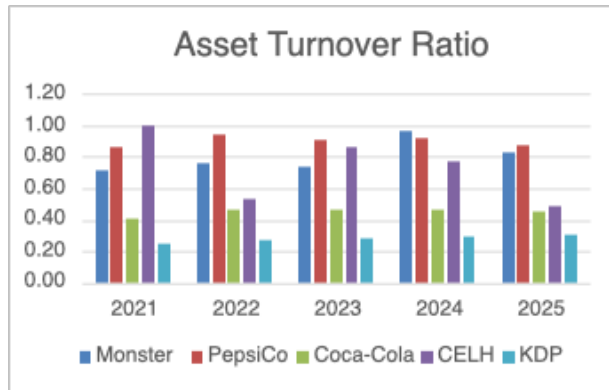
The cash coverage ratio provides a similar perspective but is considered more conservative because it adds depreciation back to EBIT, giving a better view of actual cash available to service debt. Overall, the pattern remains similar across all five companies. PepsiCo and Coca-Cola continue to show strong and stable cash coverage, with PepsiCo reaching 18.23 in 2023 and Coca-Cola maintaining generally solid levels between 6.79 and 13.59. Keurig Dr Pepper shows moderate and steady coverage, while Monster Beverage remains highly volatile due to fluctuations in earnings but benefits from minimal interest obligations. Celsius Holdings shows strong improvement in 2022 but weaker and more constrained coverage after taking on debt in 2025.

Conclusion

The five companies show different solvency positions mainly due to size, maturity, and growth strategy. Monster Beverage has the most conservative structure with very low debt and strong ability to meet interest payments. PepsiCo and Coca-Cola use higher leverage, but strong and stable cash flows allow them to manage debt comfortably. Keurig Dr Pepper has moderate debt with lower coverage, showing a more leveraged but still manageable position. Celsius Holdings shows the biggest change, moving from very low debt to higher leverage in 2025 as it shifts from rapid growth to a more developed capital structure.

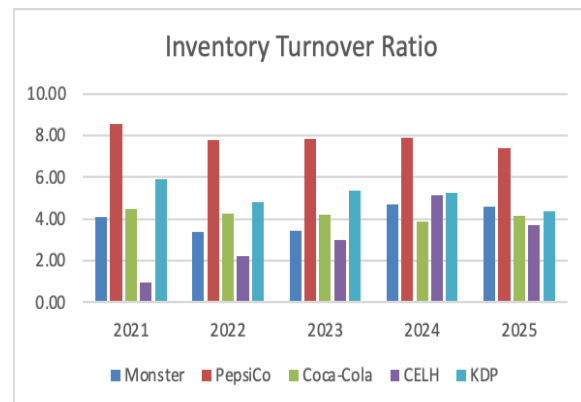
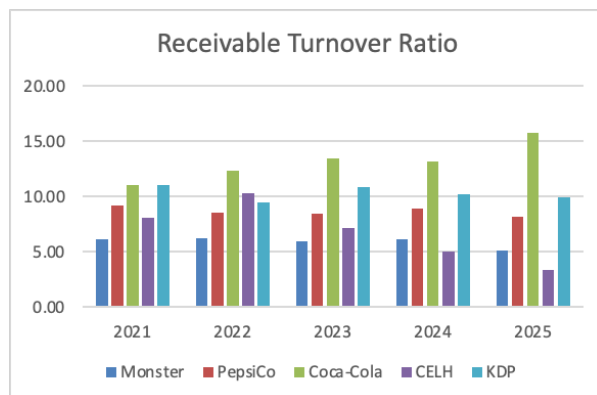
3. Assets Management Ratios

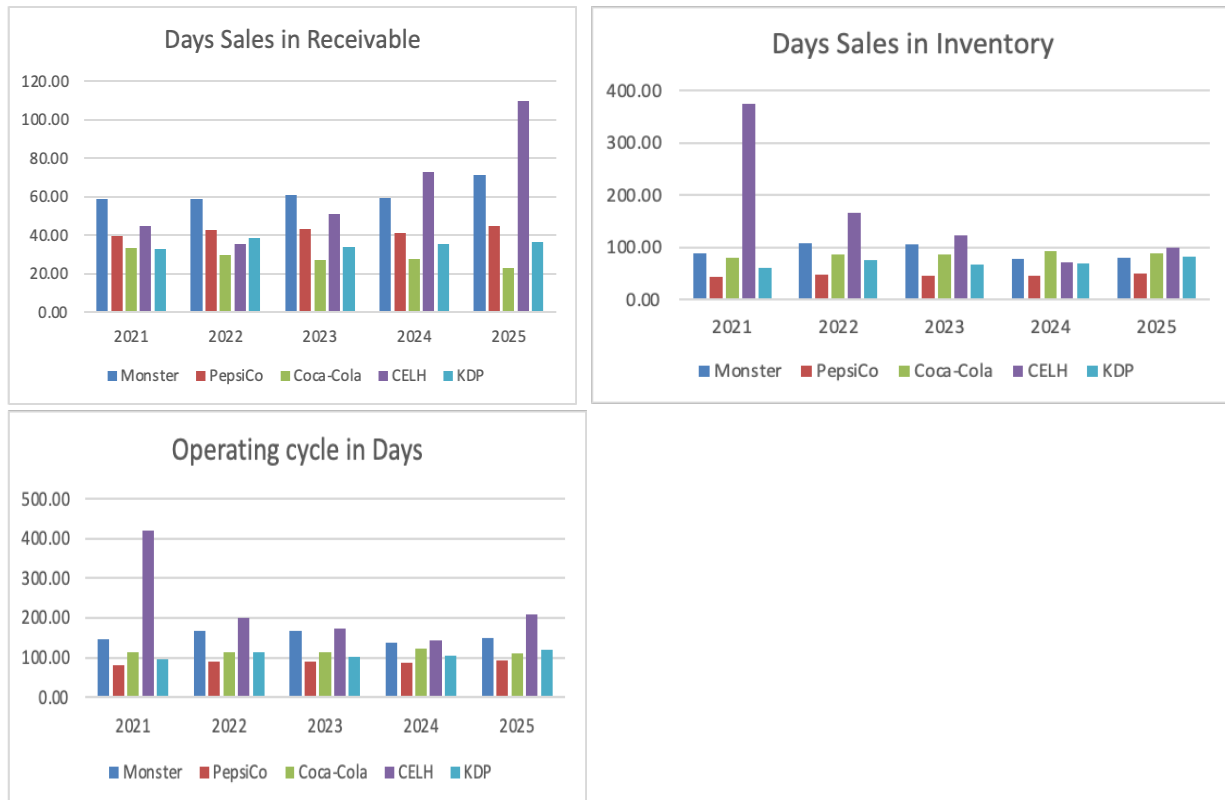
Asset Turnover Ratio



The asset turnover ratio shows how much money a company can make from its assets. PepsiCo's ratio stays rather steady in this group over the five years, maintaining between 0.86 and 0.94. PepsiCo's and Coca-Cola's operation is so huge and complicated which includes a large asset base. Monster Beverage has a pattern that is a little different from other drinks, as corporations depend on partners for bottling and distribution. This structure lets sales go up without the value of assets going up at the same time. The most changes have happened to Celsius Holdings over time. Its asset turnover drops from 1.00 in 2021 to 0.49 in 2025. The company's rapid growth via investment in capex growing their asset base is the key explanation for this decline.

Inventory Efficiency, Receivable Management and Operating Cycle





The companies also show very different approaches to managing inventory. Keurig Dr Pepper generally moves its inventory the fastest among the group, with inventory turnover staying relatively strong and consistent. This indicates efficient supply chain management and steady product movement across its beverage portfolio. Monster Beverage shows clear improvement in inventory efficiency after 2022. Its days in inventory fall from above 100 days in 2022 to around 80 days by 2024–2025, while inventory turnover increases at the same time. This suggests that the company has become more efficient in production, distribution, and managing rising demand.

PepsiCo demonstrates the most stable inventory management. Inventory turnover remains consistently high, and products typically stay in inventory for only about 45–50 days. This stability reflects strong global supply chain systems and consistent demand for its diversified product lines. Coca-Cola generally holds inventory for a longer period compared to peers, usually around 80–90 days. This is largely due to its concentrate-based business model, where bottling and final production are handled downstream, meaning inventory behavior differs from companies that produce finished beverages directly.

Celsius shows the most dramatic changes over time. In the early years, inventory remains in storage for a very long period, over 300 days in 2021, reflecting inefficient scaling and low turnover. However, as the company expands rapidly, inventory efficiency improves significantly, dropping to around 70–100 days in later years, although some volatility remains. In terms of operating cycle, Keurig Dr Pepper and PepsiCo

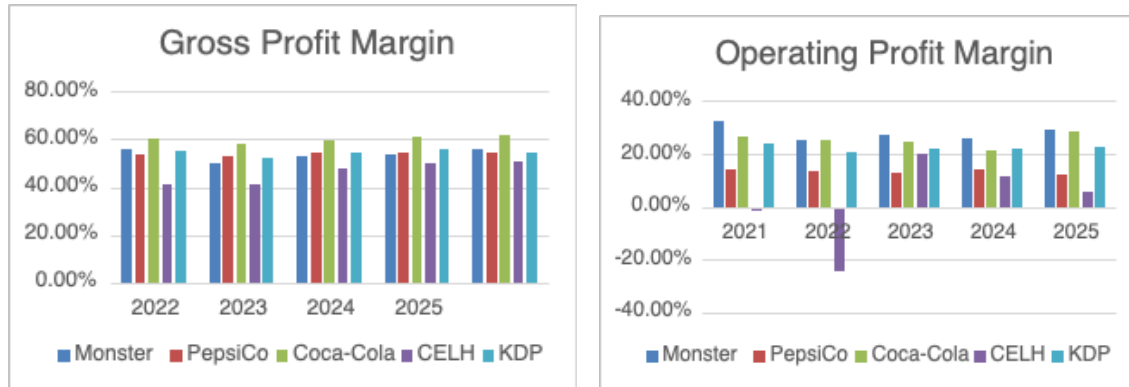
remain the most efficient and stable. PepsiCo maintains a steady operating cycle of around 85–95 days, reflecting strong working capital management across a large global operation. Keurig Dr Pepper also performs consistently with a relatively short cycle.

Coca-Cola maintains a moderate but stable operating cycle, generally above 110 days, due to its production structure. Monster improves noticeably over time as inventory efficiency strengthens. Celsius, however, remains the most volatile, with a very long operating cycle in earlier years (over 400 days) that improves significantly but still fluctuates due to rapid growth and scaling pressures.

Conclusion

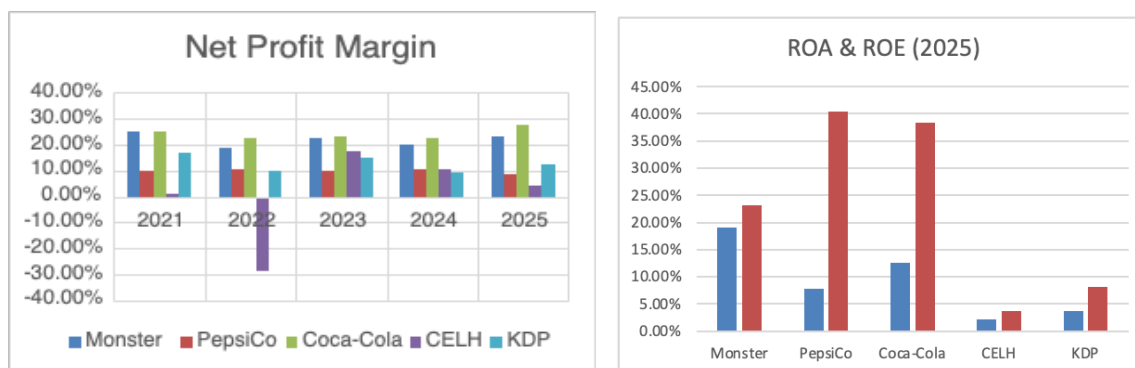
The differences in the asset management ratios of the five companies are largely because they have various business plans and are at different phases of growth. PepsiCo is the most stable firm because it has been around for a long time and does a lot of different things. Monster doesn't need a lot of assets to run, and the market for energy drinks is rising swiftly. Coca-Cola's lower asset turnover is primarily because its bottling technology focuses on concentrates, not because it is inefficient. Keurig Dr Pepper seems to be quite good at keeping track of its stock and has a short operating cycle. Celsius has the greatest ups and downs because it is still growing swiftly and spending a lot of money to do so.

4. Profitability Ratios



There is a clear “tiering” across the margin composition. All over the period under study Coca-Cola is the largest contributor to gross margin, remaining between 60 and 62%. This benefit is because its concentrate-and-licensing business model allows it to pass most production costs to bottling partners. Just behind are Monster and KDP in the mid-50s and PepsiCo stays stable in the mid-53–54%. Celsius started this period well below the industry average (about 41%), but it dramatically reduced the gap by 2025 as its scale made keeping costs down easier.

The operating level is where the analysis becomes even more interesting to look at. Monster's performance is higher than average and consistently outperforms competitors, achieving a peak of 32% in 2021 and a plateau around 27–29% by 2025 partly due to lack of manufacturing infrastructure. Coca-Cola was close to Monster in times of strength, but the number dropped to roughly 21 percent in 2024 followed by a rebound from there to a decent performance in 2025. KDP has a constant mid-20s margin in steady chunks. At the same time, PepsiCo's diversified food and beverage business gives it the disadvantage of low teen margins. Celsius is a special case because it loses a lot for operations for the year 2021-22, at least in part, due to heavy distribution and marketing investment; although it is generating positive margins by 2023, it still presents a more volatile position compared to more mature competitors.



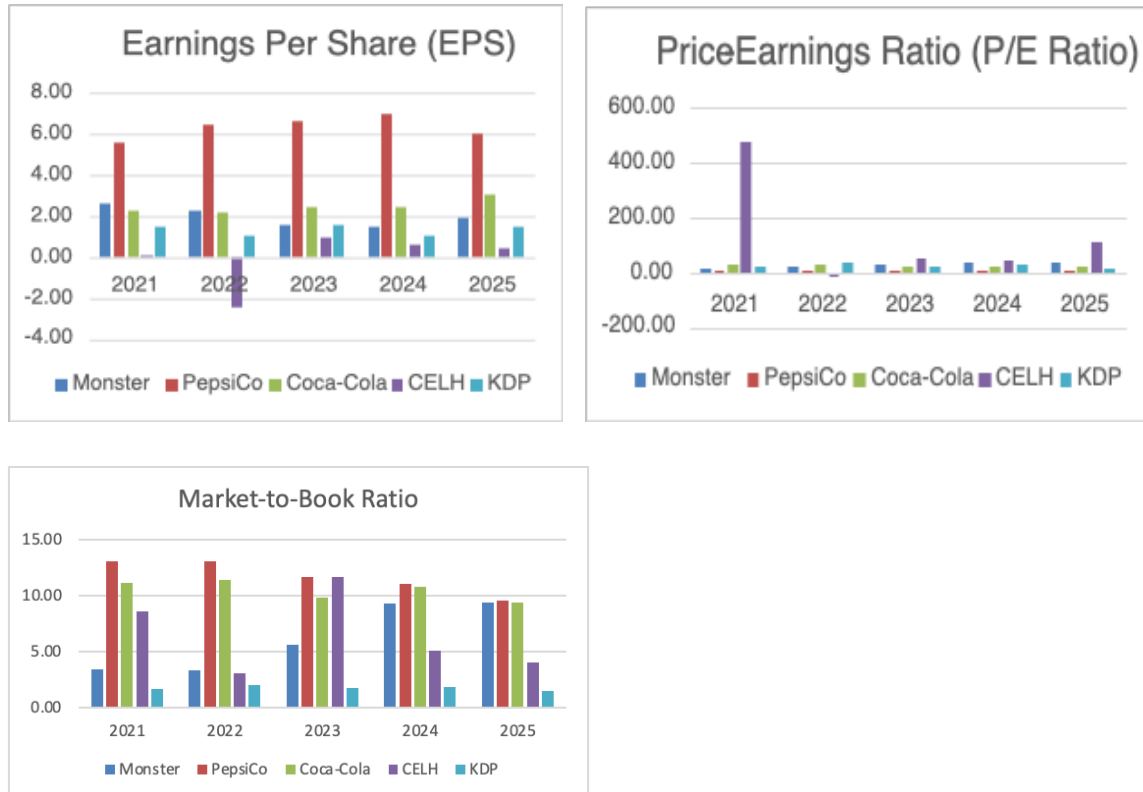
Net margins are consistent with this. By 2025, Coca-Cola and Monster are both within the range above 22–27% or so, implying little fluctuation between operating and net margins. PepsiCo, on the other hand, is selling on single-to-low-double-digit margins, beyond interest and restructuring costs. Celsius rebounded from a -29% low in 2022; however, with its net margin only rising to 4% in 2025, profitability is still being restored.

In return terms, Monster's asset-light model leads the group to record the strongest ROA of ~19% with a much smaller ROE of ~23%. What this means is that its return is generated mostly naturally, not by leverage.

Conclusion

In contrast, Coca-Cola and PepsiCo present an opposite picture; both have ROEs far higher than their ROAs (38-40% vs 10-13%), due to decades of stock buybacks and debt-leveraged equity deployment that have pushed an equity headwind. KDP and Celsius are on a lower end of the return metrics - this seems to relate to KDP's capital-intensive structure, and Celsius also moving on from its rapid growth.

5. Market Value Ratios



EPS trends vary across the five beverage companies, mainly due to differences in strategy, cost management, and growth investments

From 2021 to 2025, EPS trends across major beverage companies reflect differing strategies and cost pressures. PepsiCo leads with the highest and most stable EPS, rising strongly through 2024 before a slight dip in 2025 due to higher costs, supported overall by pricing power, efficiency gains, and share buybacks. The Coca-Cola Company shows steady but moderate growth, with a notable increase in 2025 driven by improved pricing, product mix, and recovering global demand. Monster Beverage Corporation experiences a decline in EPS through 2024 due to rising input and logistics costs, followed by a recovery in 2025 as revenues grow and expenses stabilize. Celsius Holdings exhibits the most volatility, including losses in 2022 from heavy marketing and distribution investments, but returns to profitability as expansion efforts pay off. Meanwhile, Keurig Dr Pepper maintains relatively stable but lower EPS, with gradual improvement supported by pricing actions despite ongoing cost pressures and investments.

The price-to-earnings (P/E) ratio reflects how much investors are willing to pay for each dollar of earnings, often signaling growth expectations. Monster Beverage Corporation shows a sharp increase in P/E from about 16 in 2021 to over 40 by 2025, indicating strong investor confidence in future growth driven by rising

global demand for energy drinks. The Coca-Cola Company maintains a stable P/E range of roughly 23–29, typical of mature firms with steady cash flows and moderate growth. Celsius Holdings exhibits highly volatile and elevated P/E ratios, including a negative figure in 2022 due to unstable earnings, but remains above industry norms as investors anticipate high future growth. Keurig Dr Pepper shows moderate fluctuations within a reasonable range, reflecting stable profitability without a strong growth premium.

The market-to-book ratio compares a company's market value to its book value, reflecting how much investors value its growth potential. Coca-Cola and PepsiCo both maintain consistently high ratios (around 9–13), showing strong investor confidence in their stable earnings and global brand strength, though PepsiCo declines slightly over time. Monster shows a strong upward trend from 3.38 in 2021 to above 9 by 2024–2025, indicating rising growth expectations. Celsius is the most volatile, shifting sharply between high and low valuations as investor sentiment changes with its rapid growth phase. Keurig Dr Pepper remains the lowest (around 1.5–2.0), reflecting stable but modest growth expectations and a valuation closer to its book value.

Conclusion

Overall, market ratios show different investor expectations across the beverage industry. PepsiCo and The Coca-Cola Company are seen as stable, mature firms with steady performance. Monster Beverage Corporation and Celsius Holdings are valued for their higher growth potential in energy drinks. Keurig Dr Pepper falls in between, with stable but moderate growth expectations. Overall, these ratios reflect both current performance and future growth expectations.

Part II - Equity Research Analyst Report

Method to estimate beta, cost of equity and cost of debt.

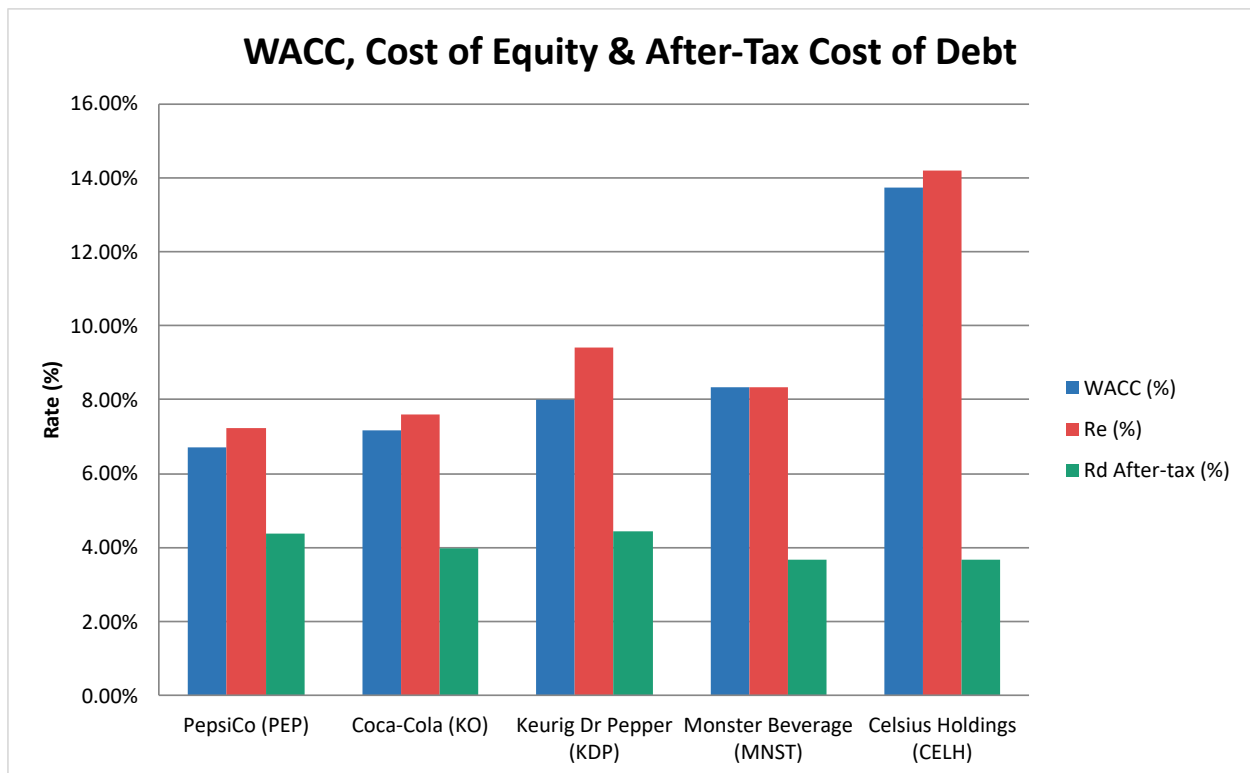
The calculation of WACC requires careful calculation of beta, cost of equity, and cost of debt. This study proceeds on a standardized basis and except for certain companies, offers a market-based approach for all firms and can adapt this strategy as per the requirement of the firm. Beta is used to measure systematic risk and represents how closely the stock returns of a firm are tied to movements in market price fluctuations. The beta values are regression-based estimates given by multiple sources of reliable financial data through historical stock returns based on regression using reliable financial data, regressing their historical returns on a broad index for a given time against other stocks. Beta therefore measures the extent to which a firm is exposed to market risk, and greater numbers of degrees of this risk can be indicative of high volatility.

The estimated cost of equity is determined through the Capital Asset Pricing Model (CAPM) that ties expected return to systematic risk through the risk-free rate and a beta-corroborated market risk premium. Beta leads to the main source of different equity costs among firms; thus, all firms use a uniform risk-free rate based on U.S. Treasury yields and a uniform market risk premium to ensure uniformity across their investments. There are two methods for estimating the cost of debt, depending on the availability of relevant information. For companies with actively traded bonds, like PepsiCo and Coca-Cola, the cost of debt is calculated using the current yield to maturity (YTM) of long-term bonds, which accounts for the market's return on borrowing required. For companies without well-established information on the bond markets, such as Monster Beverage and Celsius Holdings, synthetic rating approach is applied by estimating credit risk from the financial metrics by interest coverage ratio. No matter the firm, taxes are factored into one or more debt cost estimates and the debt-cost is adjusted to reflect tax deductibility in interest payments. Through this integrated method of valuation, a WACC calculation is kept consistent with market behavior but is also relevant to the heterogeneity of firm characteristics.

WACC Comparison with Industry Benchmark.

The benchmark WACC for the non-alcoholic beverage industry (derived from NYU Stern School of Business) is approximately 6.33%. This relatively low benchmark reflects a sector dominated by mature, stable firms with low average betas and moderate leverage. In comparison, all firms in this sample exhibit WACCs above the industry average, although the extent of the difference varies significantly across companies. Part of this gap may also be explained by differences in assumptions, particularly the relatively high risk-free rate used in this analysis, which tends to increase all firm-level WACC estimates.

WACC Comparison - Beverage Peers vs. Industry Average							
Risk-free rate: 4.26% Market Risk Premium: 5.50% Tax rate: 21% Industry WACC (NYU Stern): 6.33%							
Company	Beta	Re (%)	Rd (%)	E / (E+D)	WACC (%)	vs. 6.33%	Rd Method
PepsiCo (PEP)	0.5399	7.23%	5.56%	82.0%	6.72%	+0.39%	YTM - traded bonds
Coca-Cola (KO)	0.6094	7.61%	5.05%	87.8%	7.17%	+0.84%	YTM - traded bonds
Keurig Dr Pepper (KDP)	0.9389	9.42%	5.61%	71.4%	8.00%	+1.67%	YTM - traded bonds
Monster Beverage (MNST)	0.7428	8.35%	4.66%	99.9%	8.34%	+2.01%	Synthetic (Aaa/AAA)
Celsius Holdings (CELH)	1.8079	14.20%	5.64%	95.4%	13.75%	+7.42%	Synthetic (Aaa/AAA)
Industry Avg (NYU Stern)	-	-	-	-	6.33%	benchmark	-



PepsiCo and Coca-Cola -close to the benchmark

The two companies that most closely track the industry average (0.39 and 0.84 percentage points above it), are PepsiCo (WACC: 6.72%) and Coca-Cola (WACC: 7.17%). Both have low regression-estimated betas - 0.54 (PepsiCo) and 0.61 (Coca-Cola), which is consistent with their defensive and non-cyclical nature. If the risk-free rate (4.26%) and market risk premium (5.50%) are also the same across five firms, these low betas directly lead to the lowest costs of equity in the sample (7.23% and 7.61%).

The cost of debt for both can be calculated based on actual bond yields-to-maturity, actively traded long-term bonds, 5.56% for PepsiCo (average over 12 bonds), and 5.05% for Coca-Cola (average over 12 bonds), which are the best estimated figures here. And both firms carry a significant portion of debt (18% for

PepsiCo, 12.2% for Coca-Cola), which gives them a slight tax shield that dampens WACC a little compared to what it would be if they had a capital structure based only on equity.

Keurig Dr Pepper and Monster Beverage -moderately above the benchmark

Both Keurig Dr Pepper (WACC: 8.00%) and Monster Beverage (WACC: 8.34%) are above the industry average by about 1.7–2.0 percentage points, but the reasons are instructive.

KDP offers a significantly higher average WACC due to their relatively high beta of 0.94, which consequently leads to an increase in cost of equity to 9.42% - well above the two mega-caps. Yet KDP partially offsets that with the most leveraged capital structure in the sample: debt is 28.6% of total capital, and a tax shield on that debt (cost of debt: 5.61% estimated using a YTM on seven traded bonds) helps to moderate the overall WACC.

Monster's situation is different. But the real problem is its beta at 0.74 which is lower than KDP - which implies lower WACC - and even then we see a slightly higher WACC at 8.34%. The reason being the capital-base profile of Monster (almost debt-free): just \$60M debt is in comparison to a \$57.4B equity market cap (99.9% equity-financed). Since Monster cannot earn a large outflow of lower-cost tax-deductible debt, its WACC would almost entirely converge to its cost of equity of 8.35%. This is one of those areas where the capital structure exceeds the beta benefit. Debt cost for Monster is assumed synthetically (Damodaran method) at 4.66%, because there are no public bonds issued - but since their weight is near zero from a debt perspective, this input has almost no effect on final WACC.

Celsius Holdings -dramatically above the benchmark

Celsius (WACC: 13.75%) is such a high outlier, 7.42 percentage points above industry levels. The cause is a beta of 1.81, more than three times Coca-Cola's and almost double Keurig Dr Pepper's. This is indicative of Celsius being a high-growth high-volatility company, which is subject to stock returns that are very responsive to general market movements. The ensuing cost of equity is 14.20%, which is dominant for the calculation of WACC. Like Monster, Celsius is overwhelmingly equity-financed (95.4% equity weight), and its cost of debt is estimated synthetically at 5.64%, the same as Monster because a 9.5× EBIT/interest coverage ratio also implies an BB synthetic rating. But with only 4.6% of capital in debt, the tax shield has almost no moderating effect.

Summary of what drives the differences

The variation in WACC across these five firms ultimately comes down to three layered effects:

Beta is the primary driver. Since the risk-free rate and market premium are identical for all five, every difference in cost of equity comes entirely from beta. The range runs from 0.54 (PepsiCo) to 1.81 (Celsius), producing a cost of equity range of 7.23% to 14.20%.

Capital structure is the secondary driver. Firms that use debt can reduce their WACC through the after-tax cost of debt being cheaper than equity. KDP benefits most from this (28.6% debt weight), while Monster and Celsius benefit least (under 5% debt). This is why Monster's WACC ends up above KDP's despite having a lower beta.

Firm maturity and stability are the underlying cause of both. Large, diversified, consumer-staple businesses like PepsiCo and Coca-Cola generate stable, predictable cash flows that investors view as low-risk, hence low betas and access to cheap debt. Growth-oriented firms like Celsius face higher uncertainty, which investors price in through higher required returns.

Conclusion

Overall, the WACCs of all firms in the sample are above the industry benchmark, though the extent of the difference varies significantly. With their low-risk profiles and balanced capital structures, PepsiCo and Coca-Cola remain closest to the benchmark. Keurig Dr Pepper and Monster Beverage have moderately higher WACCs because they have either higher systematic risk or less efficient financing. Celsius is a high-risk outlier, as its elevated beta and equity-heavy structure led to a substantially higher cost of capital. In conclusion, the analysis demonstrates that WACC is highly firm-specific and is driven primarily by systematic risk, with capital structure and firm characteristics playing important supporting roles.

Payout Policy

The analysis of shareholder cash payouts across the selected beverage companies shows clear differences in how firms allocate cash between dividends, share repurchases, and reinvestment. The Coca-Cola Company and PepsiCo both have a consistent payout strategy that puts shareholders first. In 2024, Coca-Cola paid out \$8,359 million in dividends, and in 2025, it paid out \$8,779 million, with dividend payout ratios of 78.6% and 67.0%, respectively. The dividend yields were close to 3%. PepsiCo's payouts are similar, with dividends of \$7,229 million in 2024 and \$7,638 million in 2025. The payout ratio rises to 92.7% in 2025. Both companies also buy back a moderate amount of their own shares, which means that their total payout ratios range from about 72% to over 100%. This means that a large part of their earnings goes back to shareholders.

Keurig Dr Pepper takes a more flexible approach. In 2024, the company paid out a lot more cash than it made, with a total payout ratio of 158.4% from both dividends and share buybacks. But this level of payout didn't last; by 2025, the ratio had dropped to around 60%, which suggests that the company was moving toward a more balanced capital allocation policy.

On the other hand, Celsius Holdings and Monster Beverage focus on growth and pay little or no dividends. Celsius didn't pay dividends in either year, or in 2025 it only bought back a small number of shares. Monster also gave back money mostly through buybacks in 2024 (\$739.6 million), but they didn't do this again in 2025. The lack of regular payouts shows that the company would rather keep its profits and reinvest them in growth than give them to shareholders.

In general, the results show that there is a clear difference in the industry. This is a trade-off between making money and reinvesting it. For example, Coca-Cola and PepsiCo, which are mature companies, put stable shareholder payouts first, while Celsius and Monster, which are growth-oriented companies, keep their profits to pay for growth.

Conclusion

A moderately risk averse investor seeks capital preservation, consistent income, and controlled exposure to market volatility. Using our findings for profitability, solvency, asset management, and market valuation findings from Part I alongside the WACC, cost of capital, and payout analysis from Part II, the optimal portfolio allocation for this investor is 40% PepsiCo (PEP), 40% Coca-Cola (KO), and 20% Monster Beverage (MNST), with Keurig Dr Pepper and Celsius excluded entirely.

PepsiCo and Coca-Cola — The core running engine of the portfolio

PepsiCo and Coca-Cola jointly drive majority of the portfolio because they are the only two firms whose financial profiles are consistent across every dimension of analysis. On profitability, Coca-Cola leads the group in gross margin (60–62%), driven by its asset-light concentrate and licensing model that offloads production costs to bottling partners, and its net margin held above 22% in 2025. PepsiCo operates on thinner margins (gross 54%, operating in the low teens) due to its diversified food and snack operations, but compensates with the highest asset turnover in the group (0.86 -0.94), reflecting higher operational efficiency across a global business. Its inventory days of approximately 45 and a steady operating cycle of around 94 days confirm disciplined working capital management. On solvency, both firms carry high leverage PepsiCo's debt-to-equity ratio exceeds 239% and Coca-Cola's total debt ratio is at 43%. Both maintain interest coverage well above safe thresholds (PepsiCo at 10.26x, Coca-Cola at 8.32x in 2025), and their ROEs of ~37–40% and ~40–42% respectively reflect decades of disciplined capital deployment through buybacks and leverage. From Part II, PepsiCo's WACC of 6.72% and beta of 0.54 are the lowest in the peer group standing a only 39 basis points above the 6.33% industry benchmark and its dividend yield of 3.6–3.9% with total payout ratios consistently above 85% make it the strongest income generator. Coca-Cola's WACC of 7.17% and its lowest cost of debt in the group (5.05% across 12 bonds) confirm the market's confidence in its financial durability, while its free cash flow of approximately \$11.3 billion supports its sustained dividend program. Together, this 80% core delivers stable income, manageable risk, and proven profitability across business cycles.

Monster Beverage — The 20% Growth Tilt

From Part I, Monster records the highest ROA in the group at ~19% and the best liquidity position (current ratio 3.32–4.85), reflecting an asset light model that generates cash without heavy capital expenditure. Its gross margin improved from 54% in 2024 to 55.8% in 2025 following a 5% price increase, and its operating margin of 27–29% is the strongest among the five firms surpassing even Coca-Cola's. Its total debt ratio of just 17.37% and debt to equity of 21% in 2025 represent the most defensive solvency profile in the peer group, with interest coverage at 38.3x leaving virtually no financial distress risk. On the capital markets side (Part II), Monster's beta of 0.74 is moderate, its WACC of 8.34% reflects its zero-leverage structure (99.9% equity-financed) rather than elevated business risk, and its EV/EBITDA of 23–25x is a premium multiple backed by genuine margin expansion and a structurally growing energy drink market. Its payout policy does not include dividends but only share repurchases this can be the diversification benefit that the firm brings to the portfolio in terms of pay out policy as compared to Coca Cola and Pepsi which are high dividend paying companies.

Why KDP and CELH Are Excluded

Keurig Dr Pepper fails on multiple fronts. Its beta of 0.94 is nearly double PepsiCo's, its total debt ratio has risen to 32% and debt to equity to 68% by 2025, and its interest coverage of 4.9x provides a thin margin of safety relative to its peers. Earnings swung by \$638 million year on year and its total payout ratio constantly shifted from 158% in 2024 to 60.5% in 2025 Celsius is disqualified entirely. Despite improving gross margins, its net margin remains just 4% in 2025 after recovering from a 29% low in 2022. Its interest coverage fell to 2.88x in 2025 following its \$700 million Alani Nu acquisition debt, its asset turnover has declined from 1.00 to 0.49 as capex increases faster than revenue growth, and its beta of 1.81 combined with a WACC of 13.75% , 7.39 percentage points above the industry benchmark classify it as a speculative position incompatible with this investor profile.

The proposed 40/40/20 allocation in PepsiCo, Coca-Cola, and Monster Beverage represents the most defensible portfolio construction for a moderately risk averse investor within this beverage peer group. It combines the lowest achievable blended WACC, the strongest income yields, superior solvency coverage, consistent profitability, and efficient working capital management while preserving a calibrated growth component through Monster's asset light, high-margin, debt free business model.

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